GROUP PEOPLE SERVICES LIMITED

DIRECTORS' REPORT AND FINANCIAL STATEMENTS

FOR THE 52 WEEKS ENDED 29 DECEMBER 2007

REGISTERED NUMBER : 5799085

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GROUP PEOPLE SERVICES LIMITED
DIRECTORS' REPORT

The Company was incorporated on 27 April 2006 and its first accounting period was the 35 weeks to 30 December 2006 The directors have pleasure in submitting their second report and the audited financial statements of the Company for the 52 weeks to 29 December 2007

BUSINESS REVIEW AND PRINCIPAL ACTIVITIES

The Company is a wholly owned subsidiary of Galiform Plc and operates as part of Galiform Plc's Corporate division The Company's principal activities are providing and managing employees for other group companies The directors are not aware, at the date of this report, of any likely major changes in the Company's activities in the next year

As shown in the Company's profit and loss account on page 5, the Company's sales for the period were £92 9m *(2006 £59 5m)* and the loss after tax was £1 4m *(2006 (restated) profit £0 5m)* The directors recommend that no dividend be paid The directors are satisfied with the progress of the business

The balance sheet on page 6 of the financial statements shows the Company's financial position at the end of the year Details of amounts owed by the parent company are shown in note 6

The Galiform Plc group ("the Group") manages its operations on a divisional basis For this reason, the Company's directors believe that further key performance indicators specific to the Company are not necessary or appropriate for an understanding of the development, performance or position of the business The performance of the corporate division of Galiform Plc, which includes the Company, is discussed in the Group's Annual Report which does not form part of this report

The Company, as part of the Group, recognises the importance of its environmental responsibilities, monitors its impact on the environment, and designs and implements policies to reduce any damage that might be caused by the group's activities The Company operates in accordance with Group policies, which are described in the Group's Annual Report, which does not form part of this Report

PRINCIPAL RISKS AND UNCERTAINTIES

The Company is financed by a loan from its ultimate parent and has no third party debt It therefore has no interest rate exposure The Company has no other significant risks and uncertainties, other than those risks that it shares with the Galiform Plc Group, given that the Company's principal activities are providing and managing employees for other Galiform Plc Group companies The Group's risks are discussed in the Group's Annual Report, which does not form part of this Report

EMPLOYEES

Details of the number of employees and related costs can be found in note 3 to the financial statements

Applications for employment by disabled persons are always fully considered, bearing in mind the aptitudes of the applicant concerned In the event of members of staff becoming disabled every effort is made to ensure that their employment with the company continues and that appropriate training is arranged It is the policy of the Company that the training, career development, and promotion of disabled persons should, as far as possible, be identical with that of other employees

The Company participates in the Group's policies and practices to keep employees informed on matters relevant to them as employees through regular meetings Employee representatives are consulted regularly on a wide range of matters affecting their interests

DIRECTORS

The directors of the Company who served throughout the period, except as noted, were

R Fenwick
G Hughes
J Parker-Welch

GROUP PEOPLE SERVICES LIMITED
DIRECTORS' REPORT (cont'd)

DIRECTORS (cont'd)

No director held any beneficial interest in the shares of the Company or any other Group company at any time during the period, with the exception of the following

Beneficial interests of the directors, including family interests, in the share capital of the ultimate holding company, Galiform Plc at 29 December 2007 are disclosed in the accounts of that company except those set out below

	At 29 December 2007 Ordinary shares of 10p each			At 30 December 2006 Ordinary shares of 10p each		
	Shares in issue	Share options	Awards*	Shares in issue	Share options	Awards*
R Fenwick	Nil	1,403,783	870,781	Nil	547,608	Nil
J Parker-Welch	Nil	40,000	95,912	Nil	40,000	Nil

* Conditional share awards under the performance share plan and, for Mr Fenwick, in respect of the Foundation Plans 2006 and 2007

The options outstanding are exercisable at prices between 92p and 158 5p *(2006 106 5p and 160 1p)*

The Directors also held a beneficial interest in the All Employee Share Incentive Plans in common with all members of the scheme At the year end, the scheme held 574,406 *(2006 941,942)* shares

Under the terms of the Senior Managers Co-Investment Plan, R Fenwick had 11,091 commitment shares with Galiform Plc granting 16,636 matching shares The Senior Managers Co-investment Plan offers 1 ½ matching shares for every share held in the plan by a senior manager, conditionally vesting after three years

Under the terms of the 2007 Co-Investment Plan, R Fenwick invested 260,000 shares with Galiform Plc granting 1,300,000 matching shares The plan, which vests after 3 years, offers a maximum of 5 matching shares for every share invested in the plan subject to stretching PBT and TSR targets being met at the end of the three year performance period

SUPPLIER PAYMENT POLICY
The Company does not have any trade creditors (2006 none)

POLITICAL AND CHARITABLE CONTRIBUTIONS
The Company did not make any charitable or political donations during the period *(2006 nil)*

AUDITORS

Each of the persons who is a director at the date of approval of this annual report confirms that

- so far as the directors are aware, there is no relevant audit information of which the company's auditors are unaware, and
- the directors have taken all the steps they ought to have taken as directors in order to make themselves aware of any relevant audit information and to establish that the company's auditors are aware of that information

The confirmation is given and should be interpreted in accordance with the provisions of s234ZA of the Companies Act 1985

Pursuant to a shareholders' resolution, the Company is not obliged to re-appoint its auditors annually and Deloitte & Touche LLP will therefore continue in office

GROUP PEOPLE SERVICES LIMITED
DIRECTORS' REPORT (Cont'd)

REGISTERED OFFICE

The company's registered office is International House, 66 Chiltern Street, London W1U 4JT

STATEMENT OF DIRECTORS' RESPONSIBILITIES

The directors are responsible for preparing the Annual Report and the financial statements in accordance with applicable law and regulations

Company law requires the directors to prepare financial statements for each financial year Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law) The financial statements are required by law to give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period In preparing these financial statements, the directors are required to

- select suitable accounting policies and then apply them consistently,
- make judgements and estimates that are reasonable and prudent,
- state whether applicable accounting standards have been followed, and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business

The directors are responsible for keeping proper accounting records which disclose with reasonable accuracy at any time the financial position of the Company and to enable them to ensure that the financial statements comply with the Companies Act 1985 They are also responsible for the system of internal control, safeguarding the assets of the company and hence for taking responsible steps for the prevention and detection of fraud and other irregularities

By Order of the Board

C Bishop
Secretary

27th October 2008

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF GROUP PEOPLE SERVICES LIMITED

We have audited the financial statements of Group People Services Limited for the 52 week period ended 29 December 2007 which comprise the profit and loss account, the balance sheet, and the related notes 1 to 13 These financial statements have been prepared under the accounting policies set out therein

This report is made solely to the company's members, as a body, in accordance with section 235 of the Companies Act 1985 Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditors' report and for no other purpose To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed

Respective responsibilities of directors and auditors

The directors' responsibilities for preparing the financial statements in accordance with applicable law and United Kingdom Accounting Standards (United Kingdom Generally Accepted Accounting Practice) are set out in the Statement of Directors' Responsibilities

Our responsibility is to audit the financial statements in accordance with relevant legal and regulatory requirements and International Standards on Auditing (UK and Ireland)

We report to you our opinion as to whether the financial statements give a true and fair view and are properly prepared in accordance with the Companies Act 1985 We also report to you whether in our opinion the information given in the Directors' Report is consistent with the financial statements

In addition we report to you if, in our opinion, the company has not kept proper accounting records, if we have not received all the information and explanations we require for our audit, or if information specified by law regarding directors' remuneration and other transactions is not disclosed

We read the Directors' Report and consider the implications for our report if we become aware of any apparent misstatements within it

Basis of audit opinion

We conducted our audit in accordance with International Standards on Auditing (UK and Ireland) issued by the Auditing Practices Board An audit includes examination, on a test basis, of evidence relevant to the amounts and disclosures in the financial statements It also includes an assessment of the significant estimates and judgements made by the directors in the preparation of the financial statements, and of whether the accounting policies are appropriate to the company's circumstances, consistently applied and adequately disclosed

We planned and performed our audit so as to obtain all the information and explanations which we considered necessary in order to provide us with sufficient evidence to give reasonable assurance that the financial statements are free from material misstatement, whether caused by fraud or other irregularity or error In forming our opinion we also evaluated the overall adequacy of the presentation of information in the financial statements

Opinion

In our opinion

- the financial statements give a true and fair view, in accordance with United Kingdom Generally Accepted Accounting Practice, of the state of the company's affairs as at 29 December 2007 and of its loss for the 52 week period then ended,
- the financial statements have been properly prepared in accordance with the Companies Act 1985, and
- the information given in the Directors' Report is consistent with the financial statements

Deloitte + Touche LLP

Deloitte & Touche LLP
Chartered Accountants and Registered Auditors
London
27th October 2008

GROUP PEOPLE SERVICES LIMITED
PROFIT & LOSS ACCOUNT
FOR THE 52 WEEKS ENDED 29 DECEMBER 2007

	NOTES	52 Weeks to 29 December 2007 £000	35 Weeks to 30 December 2006 (restated) £000
Turnover	1	**92,941**	59,498
Cost of sales		**(94,855)**	(58,026)
(Loss)/Profit on ordinary activities before taxation	2	**(1,914)**	1,472
Tax on profit on ordinary activities	5	**528**	(1,027)
(Loss)/Profit for the financial period		**(1,386)**	445

The results for the current and prior periods are derived from continuing operations

The results for the period to 30 December 2006 have been restated, following the adoption of FRS20 "Share-based payments" during the current period Details of the restatement are given in note 13

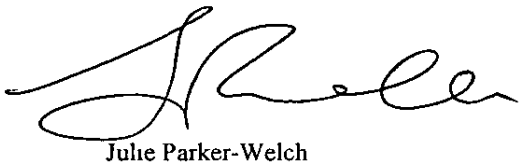
There are no recognised gains or losses in the current period, other than those included in the profit and loss account, and therefore no statement of recognised gains and losses is presented

GROUP PEOPLE SERVICES LIMITED
BALANCE SHEET AT 29 DECEMBER 2007

	NOTES	29 Dec 2007 £000	29 Dec 2007 £000	30 Dec 2006 (restated) £000	30 Dec 2006 (restated) £000
Current assets					
Debtors	6	183		1,723	
Current liabilities					
Creditors amounts due within one year	7	(499)		(1,027)	
Net current assets			(316)		696
Net (liabilities)/assets			(316)		696
Capital and reserves					
Called up share capital	8		-		-
Profit and loss account	9		(941)		445
Share-based payments reserve			625		251
Shareholders' (defecit)/funds	9		(316)		696

Net assets at 30 December 2006 have been restated, following the adoption of FRS20 "Share-based payments" during the current period Details of the restatement are given in note 13

Approved by the Board of Directors on 27th October 2008



Julie Parker-Welch
Director

GROUP PEOPLE SERVICES LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE 52 WEEKS ENDED 29 DECEMBER 2007

1. ACCOUNTING POLICIES

The accounting policies summarised below have all been applied consistently throughout the current period The Company has adopted FRS20 "Share-based payment" during the period As required, the Company has adopted this Financial Reporting Standard with retrospective effect, and so the results for the previous period have been restated Full details of the restatement are given in the share-based payment note below

BASIS OF PREPARATION

The financial statements are prepared under the historical cost convention and in accordance with applicable United Kingdom law and accounting standards

Under Financial Reporting Standard 1, the Company is exempt from the requirement to prepare a cash flow statement on the grounds that it is a wholly owned subsidiary undertaking and a consolidated cash flow statement is given in the financial statements of Galiform Plc, formerly MFI Furniture Group Plc

The financial statements include the results for the 52 week period ended 29 December 2007, being the Saturday nearest to the Company's accounting reference date of 29 December

TURNOVER

Turnover represents the net value of services sold to customers excluding value added tax All turnover arises in the United Kingdom

TAXATION

UK Corporation tax is provided at amounts expected to be paid (or recovered) using tax rules and laws that have been enacted or substantially enacted by the balance sheet date

Deferred taxation is provided on a full provision basis, without discounting, on all timing differences which have arisen but not reversed at the balance sheet date

PENSIONS

i) Defined benefit pension schemes

The Company participates in its parent company (Galiform Plc)'s group retirement benefit schemes This is a defined benefit arrangement, operating through two multi-employer defined-benefit schemes The assets and liabilities of the schemes are held separately from those of the Galiform Group The company is unable to identify its share of the underlying assets and liabilities of the schemes and accordingly accounts for the schemes as if they were defined contribution schemes This is in line with the guidance in FRS 17 relating to group defined benefit pension schemes

ii) Defined contribution pension schemes

During the 52 weeks to 29 December 2007, the Galiform Group began to operate a defined contribution scheme for its employees For defined contribution schemes, the amount charged to the profit and loss account in respect of pension costs and other post-retirement benefits is the contributions payable in the year Differences between contributions payable in the year and contributions actually paid are shown as either accruals or prepayments in the balance sheet

SHARE-BASED PAYMENTS

The Company has adopted FRS 20 "Share-based payment" in the current period In accordance with the transitional provisions, FRS 20 has been applied to all grants of equity instruments after 7 November 2002 that were unvested as of 25 December 2005

The Company issues equity-settled share-based payments to certain employees, based on the shares of its ultimate parent company Galiform PLC Equity-settled share-based payments are measured at fair value at the date of grant The fair value determined at the grant date of the equity-settled share based payments is expensed on a straight-line basis over the vesting period, based on the Group's estimate of shares that will eventually vest

Fair value is measured by use of a binomial model The expected life used in the model has been adjusted, based on management's best estimate, for the effects of non-transferability, exercise restrictions, and behavioural considerations

2. PROFIT ON ORDINARY ACTIVITIES BEFORE TAXATION

The auditors' remuneration of £5,000 *(2006 £5,000)* for audit services was borne by the fellow group subsidiary company Galiform Corporate Services Ltd in the current and prior periods

3. STAFF NUMBERS AND COSTS (INCLUDING DIRECTORS)

The average number of persons (full-time equivalent) employed by the Company during the period was as follows

	29 Dec 2007	30 Dec 2006
	No.	No
Information Systems Services	215	202
Manufacturing	1,797	1,941
Retail	-	4,541
	2,012	6,684

The retail employees relate to the MFI Retail and Sofa Workshop businesses which were disposed of in October 2006

The aggregate payroll costs of these persons were as follows

	29 Dec 2007	30 Dec 2006 (restated - Note 12)
	£000	£000
Wages and salaries	78,205	44,558
Social security costs	6,000	3,447
Other pension costs	9,233	9,404
Share-based payment costs (restated - see Note 13)	374	251
	93,812	57,660

4. REMUNERATION OF DIRECTORS

No director received any emoluments from this Company during the period

5. TAX ON PROFIT ON ORDINARY ACTIVITIES

	29 Dec 2007	30 Dec 2006
	£000	£000
UK corporation tax on ordinary activities	(528)	1,027

Factors affecting current period corporation tax

	29 Dec 2007	30 Dec 2006
The taxation charge, as a percentage of profit on ordinary activities before exceptional items, is calculated at	34%	60%

The current period corporation tax charge is higher than the standard rate of corporation tax in the UK (30%) for the following reasons

	29 Dec 2007	30 Dec 2006
	£000	£000
(Loss)/Profit on ordinary activities before taxation for the period	(1,914)	1,723
(Loss)/Profit on ordinary activities before taxation for the period multiplied by the standard rate of corporation tax in the UK of 30%	(466)	517
Effects of		
Schedule 23 deductions	(62)	-
Expenditure not deductible for tax purposes	-	510
Current period corporation tax charge	(528)	1,027

There is no unprovided deferred tax

5. TAXATION(continued)

Factors that may affect future tax charges
It is expected that the effective rate of corporation tax will be lower next period due to a lower level of expenditure not deductible for tax purposes

6. DEBTORS

	29 Dec 2007 £000	30 Dec 2006 £000
Amounts falling due within one year		
Amounts owed by parent and fellow subsidiary undertakings	183	1,723

7. CREDITORS

	29 Dec 2007 £000	30 Dec 2006 £000
Amounts falling due within one year		
Amounts owed to parent and fellow subsidiary undertakings	-	-
Corporation tax	(499)	(1,027)
	(499)	(1,027)

8. SHARE CAPITAL

	29 Dec 2007 £000	30 Dec 2006 £000
100,000,000 authorised ordinary shares of £1 00 each	100,000	100,000
1 allotted, called up, fully paid ordinary shares of £1 00 each	-	-

9 RECONCILIATION OF MOVEMENT IN SHAREHOLDERS' FUNDS

	Share Capital	Profit and Loss Reserve	Share-based payments reserve	Shareholders' Funds
	£'000	£'000	£'000	£'000
At 27 April 2006 restated	-	-	-	-
Profit for the period 2006	-	445	-	445
Share based payments	-	-	251	251
At 30 December 2006 - restated	-	445	251	696
Loss for the period 2007	-	(1,386)	-	(1,386)
Share based payments	-	-	374	374
At 29 December 2007	-	(941)	625	(316)

The restatement relates to the adoption of FRS20 "Share-based payments" during the current period See note 13 for details

10. CONTINGENT LIABILITIES

The Group has guaranteed a US$ 10m (2006 US$ 10 0m) letter of credit facility from Standard Chartered Bank in favour of Howden Kitchens (Asia) Limited's suppliers This contingency would only trigger in the event that MFI Asia Limited fails to honour its obligations under the terms of the facility

Members of the Group have assigned UK property leases in the normal course of business Should the assignees fail to fulfil any obligations in respect of these leases, members of the Group will be liable for those defaults The number of claims arising to date has been small and the cost, which is charged to income as it arises, has not been material

There is a Group VAT registration cross-guarantee under which if one Group company fails to pay its VAT then the other Group companies are jointly and severally liable The amount outstanding on this guarantee at the period end is £11 3m (2006 £19 0m)

The Company, together with other Group companies, has guaranteed the Group's obligations under the Group bank facility

11. ULTIMATE PARENT COMPANY AND RELATED PARTY TRANSACTIONS

The Company's parent company is Orchardlight Ltd and the ultimate parent company and controlling entity is Galiform Plc, formerly MFI Furniture Group Plc, both incorporated in Great Britain and registered in England and Wales

The largest and smallest group in which the results of the Company are consolidated is that headed by Galiform Plc The consolidated accounts of this group are available to the public and can be obtained from the Registrar of Companies, Companies Registration Office, Crown Way, Maindy, Cardiff CF14 3UZ

The Company is exempt under FRS 8 from the requirement to disclose transactions with the group headed by Galiform Plc, formerly MFI Furniture Group Plc on the grounds that it is a wholly owned subsidiary

12. PENSIONS

i) Defined contribution pensions
During the 53 weeks to 30 December 2006, the Galiform Group began to operate a defined contribution scheme for its employees The Company's pension charge for the current year for defined contribution pension schemes was £2 4m (2006 £7 6m) There were no outstanding contributions at the period end

ii) Defined benefit pensions
The Company participates in the Galiform Plc Group retirement benefit plan This is a defined benefit multi-employer arrangement, which operates through two funded pension schemes which provide benefits based on the final pensionable pay of participating employees The assets of the schemes are held separately from those of the Group, being invested with independent fund managers The Company is unable to identify its share of the underlying assets and liabilities of the schemes and accordingly accounts for the schemes as if they were defined contribution schemes This is the prescribed treatment in FRS 17 "Retirement Benefits"

12. PENSIONS (continued)

Further information about the Galiform plc defined-contribution retirement benefit schemes is available in the Galiform Plc statutory accounts The latest actuarial valuation of the Group defined contribution schemes was carried out at 6 April 2005 by the scheme actuary This was subsequently rolled forward to 29 December 2007 by the actuary advising the Group, and restated on a basis consistent with market conditions at that date This exercise showed a scheme deficit at 29 December 2007 of £83 5m (2006 £189 2m), before netting off the associated deferred tax asset The roll-forward was done according to the requirements of International Accounting Standard 19 "Employee Benefits" ("IAS 19", under which the Galiform Group reports its results), rather than FRS 17 (under which this Company reports its results) However, management have no reason to believe that there would be any significant difference between a valuation under FRS17 and one under IAS 19. Further details are given in the consolidated financial statements of Galiform Plc

The Company's defined benefit pension charge for the year was £0 3m *(2006 £9 2m)* There were no outstanding contributions at the period end

The Group has adopted IFRS with effect from 26 December 2004, and therefore the Group consolidated financial statements disclose pension charges, assets, and liabilities in line with IAS 19 *"Employee Benefits"* The Group does not believe that there are any material differences between the net pension deficit and the pension charge under IAS 19, compared to under FRS17 It may therefore be useful to users of these accounts to consult the full IAS 19 disclosures given in the consolidated financial statements of Galiform Plc

13. SHARE-BASED PAYMENTS

1) Adoption of FRS20 and restatement of prior period figures

The Company has adopted FRS20 "Share-based payment" during the current period, in line with the requirements of that FRS The revised accounting policy is shown in Note 1 above As required, the Company has adopted this Financial Reporting Standard with retrospective effect, and so the results for the previous period have been restated, as shown below

Profit and loss account - 35 weeks to 25 December 2006	Operating profit £'000	Profit for the financial period £'000
As previously stated	1,472	696
Share-based payment charge for 2006 under FRS20	(251)	(251)
Incremental effect for 2006 of adopting FRS20	1,221	445
As restated	1,221	445

Movement in reserves - 35 weeks to 25 December 2006

	Profit and loss reserve £'000	Share-based payments reserve £'000
At date of incorporation	0	0
Profit for the period transferred to reserves - as previously stated	696	0
Share-based payment charge for 2006 under FRS20	(251)	251
At 25 December 2006 - restated	445	251

In the periods before adopting FRS20, UK GAAP allowed for a company to recognise a charge for share-based payments on a different basis, based on spreading the cash cost of acquiring and issuing the underlying shares over the performance period of each share-based payment scheme The method of calculating the share-based payment charge under FRS20 is somewhat different, and has resulted in an increase in charge when adopting FRS20

Also, in periods before adopting FRS20, UK GAAP did not require that the share-based payment charge was allocated to employing companies throughout the group, as is the case with FRS20 Therefore, prior to adopting FRS20, the whole share-based payment charge under the previous UK GAAP was taken in this company and recharged back to the other group operating companies, together with a variety of other staff and other costs

2) Charge for the period and details of each scheme

The Company recognised a charge of £0 4m (2006 charge of £0 7m) in respect of share-based payments during the period This charge is included as part of Staff Costs The Company has various share-based payment schemes, which are all equity-settled The main details of all schemes which existed during the period are given below

Galiform PLC, the ultimate holding company, has various share-based payment schemes, which are all equity-settled and which are offered from time to time to Galiform Group employees The main details of all schemes which existed during the period are given below

13. SHARE-BASED PAYMENTS (continued)

a) Performance Share Plan

This is a discretionary free share plan Participants have a contingent right to receive free shares with performance conditions attached, based on the company's EPS

The performance period is measured from the start of the financial period in which the awards are granted The performance period is three years Vesting occurs at the end of the performance period

Performance is measured relative to a Comparator Group of 12-14 companies 40% of the award vests if Total Shareholder Return ("TSR") is at median level compared to the Comparator Group over the performance period, subject to a condition that EPS must also grow by at least 9% 100% of the award vests if TSR is at upper quartile level and the EPS growth condition is also satisfied The award vests on a straight-line basis between these maximum and minimum points

b) Executive Co-investment Plan

This is a co-investment plan whereby employees can defer their cash bonus into shares ("commitment shares ") The employee receives dividends on these shares

The plan grants a number of matching shares, equal to twice the number of commitment shares The plan also grants a number of matching options, with an option price equal to the market price on the day of grant equal to twice the number of commitment shares

The performance conditions are measured over a three year period Vesting is as follows

- 20% of the Matching Award will vest if the Company's Total Shareholder Return ("TSR") is at the median level against the FTSE-250 constituents (the "Comparator Group") rising on a straight line basis to 50% of the Matching Award vesting for upper quartile performance, and in addition,
- 20% of the Matching Award will vest if average Earnings Per Share ("EPS") is equal to the Retail Price Index plus 10% per annum over the Performance Period, rising on a straight line basis to 50% of the Matching Award vesting when average EPS growth is equal to or greater than RPI plus 20% per annum

c) Foundation Plan

This plan awards nil-cost options, and also options with an exercise price equal to the market price at the date of grant

Both awards vested on the last day of the 2005/06 financial year, as the performance conditions were met There is a further deferral period of two years before the awards are made available to the participants

Vesting of awards granted in the form of nil-cost options depended on the achievement of a share price hurdle over thirty consecutive dealing days 15% of the award vests for the achievement of 95 pence and 100% of the award vests for the achievement of 125 pence The award vests on a straight line basis between these two points

Vesting of awards granted in the form of options with an exercise price equal to the market price at the date of grant vest depended on the achievement of a share price hurdle over thirty consecutive dealing days The exercise price of the options granted in 2006 was 92p 35% of this award vests if the share price achieves 115 pence over thirty consecutive dealing days, and 100% of the award vests if the share price achieves 160 pence over thirty consecutive dealing days The award vests on a straight line basis between these two points

13. SHARE-BASED PAYMENTS (continued)

d) Executive Share Options

This is a discretionary share option plan These options are granted with an exercise price equal to market value

The vesting period is three years from the date of grant with an exercise period of seven years (i e a total life of ten years) In the information below, these options have been further subdivided according to their different via performance conditions, in order to give more meaningful information The different subdivisions are described before each table below

e) Share Incentive Scheme (Freeshares)

This is an 'all-employee' share incentive plan whereby participants receive a grant of free shares in the Company If the employees are still employed by the Group three years after the grant, then the shares vest Dividends are paid out on the shares between award date and vesting date There are no other performance conditions attached to these awards

f) SAYE (Sharesave)

This is a save as you earn scheme for all employees whereby participants receive an option to purchase shares at a later date at a price equal to the market price at grant date The term of these schemes is five years

3) Movements in the period

The following tables show the number and weighted average exercise prices ("WAEP") of each category of share options during the period, and the movements in each category The significance of options granted before 7 November 2002 is that they have been excluded from the IFRS2 share-based payment charge on the basis of their date of grant, as allowed on adoption of IFRS and as further explained in note 33

a) Performance Share Plan

i) no other condition other than continued employment	52 weeks to 29 December 2007 Number	52 weeks to 29 December 2007 WAEP (£)	53 weeks to 30 December 2006 Number	53 weeks to 30 December 2006 WAEP (£)
In issue at beginning of period	0	N/A	0	0 00
Granted in period	30,500	0.00	0	N/A
Lapsed in period	(2,500)		0	N/A
Exercised in period	(2,000)		0	N/A
In issue at end of period	26,000	0 00	0	0 00
Exercisable at end of period	0	N/A	N/A	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		N/A	
Weighted average share price for options exercised during the period		1 13		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	2.42		N/A	
Weighted average fair value of options granted during the period (£)	1.50		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	0 00		N/A	
- to	0.00		N/A	

13. SHARE-BASED PAYMENTS (continued)

ii) 50% of the Options shall be exercisable if the compound annual growth in the Group's Operating Profit over the performance period is at least 10% rising to 100% if compound annual growth over the same period is at least 20%.	52 weeks to 29 December 2007	52 weeks to 29 December 2007	53 weeks to 30 December 2006	53 weeks t 30 Decembe 200
	Number	WAEP (£)	Number	WAEP (£
In issue at beginning of period	0	0.00	0	0 0
Granted in period	171,987	0 00	0	0 0
Lapsed in period	0	N/A	0	0 0
Exercised in period	0	N/A	0	0 0
In issue at end of period	171,987	0.00	0	0 0
Exercisable at end of period	0	N/A	N/A	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		N/A	
Weighted average share price for options exercised during the period		N/A		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	2.42		N/A	
Weighted average fair value of options granted during the period (£)	1.51		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	0.00		N/A	
- to	0 00		N/A	

iii) 25% of the award will vest if 2010 PBT of £110 million is achieved. 100% will vest if 2010 PBT of £135 million is achieved. The awards will vest on a sliding scale between these two points.	52 weeks to 29 December 2007	52 weeks to 29 December 2007	53 weeks to 30 December 2006	53 weeks t 30 Decembe 200
	Number	WAEP (£)	Number	WAEP (£
In issue at beginning of period	0	N/A		0 0
Granted in period	118,521	0.00	0	N/A
Lapsed in period	0	N/A	0	N/A
Exercised in period	0	N/A	0	N/A
In issue at end of period	118,521	0 00	0	0 0
Exercisable at end of period	0	nil	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		N/A		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	2.42			
Weighted average fair value of options granted during the period (£)	1.51		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	0.00		0 00	
- to	0.00		0 00	

13 SHARE-BASED PAYMENTS (continued)

b) (i) Executive Co-investment Plan: 2007 award, PBT target	52 weeks to 29 December 2007 Number	52 weeks to 29 December 2007 WAEP (£)	53 weeks to 30 December 2006 Number	53 weeks to 30 December 2006 WAEP (£)
In issue at beginning of period	0	N/A	0	N/A
Granted in period	780,000	0.00	0	N/A
Lapsed in period	0	N/A	0	N/A
Exercised in period	0	N/A	0	N/A
In issue at end of period	780,000	0.00	0	N/A
Exercisable at end of period	0	N/A	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		N/A		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)		3 00		N/A
Weighted average fair value of options granted during the period (£)	1 08		N/A	
Range of exercise prices for options outstanding at the period end (£)			N/A	
- from	0.00			
- to	0.00		N/A	

b) (ii) Executive Co-investment Plan 2007 award, TSR target	52 weeks to 29 December 2007 Number	52 weeks to 29 December 2007 WAEP (£)	53 weeks to 30 December 2006 Number	53 weeks to 30 December 2006 WAEP (£)
In issue at beginning of period	0	N/A	0	N/A
Granted in period	520,000	0 00	0	N/A
Lapsed in period	0	N/A	0	N/A
Exercised in period	0	N/A	0	N/A
In issue at end of period	520,000	0 00	0	N/A
Exercisable at end of period	0	N/A	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		N/A		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)		3 00		N/A
Weighted average fair value of options granted during the period (£)	0.55		N/A	
Range of exercise prices for options outstanding at the period end (£)			N/A	
- from	0 00			
- to	0 00		N/A	

13. SHARE-BASED PAYMENTS (continued)

c) Foundation Plan

i) 2006 award· nil-cost options	52 weeks to 29 December 2007 Number	52 weeks to 29 December 2007 WAEP (£)	53 weeks to 30 December 2006 Number	53 weeks to 30 December 2006 WAEP (£)
In issue at beginning of period	270,000	0 00	0	N/A
Granted in period	0	N/A	270,000	0 00
Lapsed in period	0	N/A	0	N/A
Exercised in period	0	N/A	0	N/A
In issue at end of period	270,000	0.00	270,000	0 00
Exercisable at end of period	0	N/A	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		N/A		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	0.00		0 00	
Weighted average fair value of options granted during the period (£)	N/A		0 52	
Range of exercise prices for options outstanding at the period end (£)				
- from	0 00		0 00	
- to	0 00		0 00	

c) Foundation Plan

ii) 2006 award· market-value options	52 weeks to 29 December 2007 Number	52 weeks to 29 December 2007 WAEP (£)	53 weeks to 30 December 2006 Number	53 weeks to 30 December 2006 WAEP (£)
In issue at beginning of period	690,000	0 92	0	N/A
Granted in period	0	N/A	690,000	0 92
Lapsed in period	(331,790)	0 92	0	N/A
Exercised in period	0	N/A	0	N/A
In issue at end of period	358,210	0.92	690,000	0 92
Exercisable at end of period	0	N/A	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		N/A		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	0.00		0 00	
Weighted average fair value of options granted during the period (£)	N/A		0 16	
Range of exercise prices for options outstanding at the period end (£)				
- from	0 92		0 92	
- to	0.92		0 92	

13. SHARE-BASED PAYMENTS (continued)

c) Foundation Plan

ii) 2007 award· nil-cost options	52 weeks to 29 December 2007 Number	52 weeks to 29 December 2007 WAEP (£)	53 weeks to 30 December 2006 Number	53 weeks to 30 December 2006 WAEP (£)
In issue at beginning of period	0	N/A	0	N/A
Granted in period	360,000	0.00	0	N/A
Lapsed in period	0	N/A	0	N/A
Exercised in period	0	N/A	0	N/A
In issue at end of period	360,000	0.00	0	N/A
Exercisable at end of period	0	N/A	N/A	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		N/A	
Weighted average share price for options exercised during the period		N/A		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	0 00		N/A	
Weighted average fair value of options granted during the period (£)	1 01		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	0 00		N/A	
- to	0 00		N/A	

d) Executive Share Options

i) No other performance conditions except continued employment	52 weeks to 29 December 2007 Number	52 weeks to 29 December 2007 WAEP (£)	53 weeks to 30 December 2006 Number	53 weeks to 30 December 2006 WAEP (£)
In issue at beginning of period	688,760	N/A	1,417,640	N/A
Granted in period	0	N/A	0	N/A
Lapsed in period	0	N/A	(523,265)	N/A
Exercised in period	(688,760)	0 42	(205,615)	N/A
In issue at end of period	0	N/A	688,760	N/A
Exercisable at end of period	0	N/A	688,760	N/A
Number of options in the closing balance that were granted before 7 November 2002	N/A		688,760	
Weighted average share price for options exercised during the period		1 43		1 24
Weighted average contractual life remaining for share options outstanding at the period end (years)	N/A		0	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	N/A		0 42	
- to	N/A		0 42	

13 SHARE-BASED PAYMENTS (continued)

d) Executive Share Options

ii) Full vesting if EPS increases by RPI + 9%

	52 weeks to 29 December 2007 Number	52 weeks to 29 December 2007 WAEP (£)	53 weeks to 30 December 2006 Number	53 weeks to 30 December 2006 WAEP (£)
In issue at beginning of period	688,760	1.08	1,417,640	1 13
Granted in period	0	N/A	0	N/A
Lapsed in period	(145,592)	1 19	(523,265)	1 37
Exercised in period	0	N/A	(205,615)	0 68
In issue at end of period	543,168	1.03	688,760	1 08
Exercisable at end of period	543,168	1.03	345,964	1 07
Number of options in the closing balance that were granted before 7 November 2002	543,168		345,964	
Weighted average share price for options exercised during the period		0 92		1 01
Weighted average contractual life remaining for share options outstanding at the period end (years)	0 00		0 57	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	0 56		0 56	
- to	1.60		1 60	

d) Executive Share Options

iii) 20% of the options will vest if the share price over 30 consecutive dealing days is 185p rising on a straight line basis to 100% vesting if the share price over 30 consecutive days reaches 265p. Underpinning this is a requirement to achieve 20% annual compound growth over the performance period	52 weeks to 29 December 2007 Number	52 weeks to 29 December 2007 WAEP (£)	53 weeks to 30 December 2006 Number	53 weeks to 30 December 2006 WAEP (£)
In issue at beginning of period	0	N/A	0	N/A
Granted in period	504,732	1 59	0	N/A
Lapsed in period	0		0	N/A
Exercised in period	0		0	N/A
In issue at end of period	504,732	1 59	0	N/A
Exercisable at end of period	1,053,628	1 59	N/A	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		N/A	
Weighted average contractual life remaining for share options outstanding at the period end (years)		2.42		N/A
Weighted average fair value of options granted during the period (£)	0.43		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	1.59		N/A	

13. SHARE-BASED PAYMENTS (continued)

e) Share incentive scheme (Freeshares)

	52 weeks to 29 December 2007 Number	52 weeks to 29 December 2007 WAEP (£)	53 weeks to 30 December 2006 Number	53 week 30 Decem 2(WAEP
In issue at beginning of period	37,678	0.00	50,874	0
Granted in period	0	0 00	0	N
Lapsed in period	0	0 00	(1,232)	0
Exercised in period	0	0 00	(11,964)	0
In issue at end of period	37,678	0.00	37,678	0
Exercisable at end of period	37,678	0.00	37,678	0
Number of options in the closing balance that were granted before 7 November 2002	37,678		37,678	
Weighted average share price for options exercised during the period		N/A		1
Weighted average contractual life remaining for share options outstanding at the period end (years)	0.00		0 00	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	0.00		0 00	
- to	0.00		0 00	

f) SAYE (Sharesave)

	52 weeks to 29 December 2007 Number	52 weeks to 29 December 2007 WAEP (£)	53 weeks to 30 December 2006 Number	53 week 30 Decem 2(WAEP
In issue at beginning of period	75,703	1.84	123,468	1
Granted in period	0	1.84	0	N
Lapsed in period	(9,220)	1 84	(47,765)	1
Exercised in period	0	1.84	0	N
In issue at end of period	66,483	1.84	75,703	1
Exercisable at end of period	0	1.84	0	N
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		N/A		N
Weighted average contractual life remaining for share options outstanding at the period end (years)	1.01		2 01	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	1 84		1 84	
- to	1.84		1 84	

13. SHARE-BASED PAYMENTS (continued)

3) Fair value of options granted

The fair value of all options granted except Sharesave is estimated on the date of grant using a binomial option valuation model Sharesave schemes are valued using a Black Scholes model as they are not considered to be of such complexity that they require a binomial model The key assumptions used in the models were

	52 weeks to 29 December 2007	53 weeks to 30 December 2006
Dividend yield (%)	2 0	1 75 to 4 0
Expected share price volatility (%)	36 0 to 39 0	38 7 to 41 0
Historical volatility (%)	36 0 to 39 0	38 7 to 41 0
Risk-free interest rate (%)	5 0 to 5 8	3 8 to 5 3
Expected life of options (years)	2 5 to 3 2	1 0 to 6 5

Historical volatility is measured for each scheme over the period equal to the vesting period of the scheme The figure arrived at is then used as the best estimate of expected future volatility